

MAINS MASTER PROGRAM (MMP) 2024

ECONOMY-11; AGRICULTURE-6

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2. FOOD SECURITY

- **Practice Questions:**
 - » "There is an urgent need for sustainable and resilient food systems to guarantee sustainable diets that are nutritious and aligned with the evolving ecosystem and climate change" Elaborate [15 marks, 250 words]
- **What is Food Security?**
 - » As per the Committee on World Food Security of UN, the food security exists when all people, at all times, have **physical, social and economic access to sufficient, safe, and nutritious food that meets their dietary needs and food preferences for an active and healthy life.**
- **Situation in India:**
 - » The 'State of Food Security and Nutrition in the World' of the FAO estimates that in 2021 around 74% of the population in India cannot afford a healthy diet. This number may be an overestimation, but still shows that a substantial number of people in India are not able to afford health food.
 - » **Other Reports:**
 - In 2022, Global Food Security Index ranked India at 68/113 major countries of the world.
 - As per Global Hunger Index, 2023, India's rank was 111/125 countries.
- **Key Initiatives to Promote Food Security In India:**
 - » **National Food Security Act, 2013:** It seeks to provide subsidized food grains to approximately 2/3rd of India's population.
 - Other than this, Mid-Day Meal Scheme, Integrated Child Development Program, and the PDS system are focused on ensuring nutritional security.
 - » **Various initiatives at state level include:**
 - '**Indira Canteen**' initiative by the state of Karnataka, which serves breakfast, lunch and dinner at very low prices.
 - '**Amma Unavagam**' (Mother's Canteen) is an initiative by TN.
 - » **Government also takes** several initiatives to control food inflation:
 - **Maintaining Buffer stocks**
 - **Controlling Exports** in case of scarcity
 - **Using MSP** mechanism to encourage farmers to grow crops which are in shortage
- **Key factors which threaten Food Security:**
 - » **Poor Governance**
 - Inadequate governance structures to ensure institutional stability, transparency, accountability etc. may lead to poor food supply situation.
 - For e.g. - Corruption in PDS system leads to diversion of food grains meant for poor people.
 - **Poor state services in remote rural areas** - For e.g. people in remote areas not being able to get PDS services because of lack of documentation.
 - » **Economic and Production Factors:**

- **Poverty, unemployment, inadequate social protection system** etc hampers availability of good and nutritious food.
 - **Lack of focus on reforms in agriculture sector** - Less than the actual potential production.
 - **Insufficient farm income** of small and marginal farmers
 - **High Post harvest losses** - due to inadequate infrastructure for storage and market access.
- » **Unsustainable Agriculture Practices:**
- **Increased dependency on wheat and rice** has led to excess irrigation which has led to water table going down and soil salination.
 - **Land Fragmentation** is also making agriculture unsustainable which may impact food security in long term.
 - **Deteriorating Soil health:**
 - **Access use of chemical inputs** like fertilizers and pesticides is hampering the soil quality.
2023 Soil Health Survey shows that almost half of the cultivable land in India has become **deficient in organic carbon**, which is an essential indicator of soil health.
- » **Climate/ Environmental Challenges:**
- Increased cases of droughts, heatwaves, unpredictable rainfall pattern etc. causing damage to food systems.
 - Increase in number of days with extreme temperatures or rain has caused a decline in quality and size of seeds across India.
 - **Biodiversity Loss** for e.g. reduction in population of pollinators also has the potential to impact large majority of food crops.
 - **Environmental damage in forests** is reducing the food supply their causing wild animals to attack human's food system (for e.g. the blue bull trouble in India)
- » **Demographic and Social Issues:**
- Insufficient attention paid to the role and contribution of women and their special vulnerabilities in regard to malnutrition, and many other forms of legal and cultural discrimination they suffer.
 - **Inadequate social protection system**, including safety nets.
 - **Marginalization and discrimination against vulnerable groups** such as internally displaced people, refugees etc.
 - **Poor availability of safe water, sanitation, maternal and child health facilities**.
 - **Inappropriate consumption** and **Over consumption of food**, often with a lack of essential macronutrients, can cause serious problems to health, including malnutrition and obesity.
 - **Low level of education and literacy** leads to detrimental feeding/ behavioral practices etc.
- » **Geostrategic Conflicts**
- **War, conflict and lack of security** may create food security challenges: E.g. Russia-Ukraine war impacted the supply of food grains and led to higher inflation.

- **Way Forward:**

» **Good Governance:**

- Increasing transparency and accountability through effective implementation of initiatives like social audit, RTI and e-governance.

» **Promoting Agricultural Sustainability:**

- **More R&D on organic farming and natural farming:** The National Mission on natural farming is a step in this direction, but the overall funding for sustainable agriculture is less than 1% of the agri budget.
- **Shift agri-subsidy from input subsidies to cash transfer:** It would promote efficient use of inputs, while enabling level playing field for agro-ecological practices to thrive.
- **Consolidation of landholding** for e.g. by bringing farmers under an FPO, or through contract farming etc. is crucial to deal with challenges of land fragmentation.
- **Second Agricultural Revolution** with special focus on east India can be crucial in promoting agri-productivity in India.

» **Consumers side reforms:**

- **Demand** needs to change towards healthy and sustainable diets.
 - Corporations can mainstream locally grown millets through innovative breakfast products.
- **Civil Society and health community** can partner with social media influencers who can shape healthier and sustainable consumption for millions.
- **Government** through initiatives like PDS, mid-day meals, railway catering, urban canteens, and public and institutional procurement, can help improve what at least 70% of Indians are consuming.
- **Religious institutions** can also influence food habits.
 - E.g. Tirumala Tirupati Devasthanam, which serve nearly 70,000 people daily, has started procuring naturally grown food items.

» **Shift farm-to-fork value chains towards more sustainable and inclusive ones.**

- Enable more value addition of agri-produce in rural areas
- **Strengthening FPOs**

» **Dealing with Climate Change related challenges:**

- **Working on Paris Climate targets:** Global community needs to work on Paris Climate targets to ensure mitigation of climate change which is emerging as one of the biggest threats to food security.
- **Working towards Adaptation in Agriculture sector:** Development of drought and flood resistant variety of crops.

» **Focus on Demographic and Social Issues**

- **Gender Equality and Women empowerment** is crucial to limit the culture of women eating in the last and prioritizing special food requirement of women specially during pregnancy.
- **Special focus on vulnerable groups** in rural and remote areas. Prioritize Aadhaar and ONORC initiative for these people so that they are able to enjoy the benefit of all government benefits.

- **Conclusion:**

- » The urgency of addressing the above discussed pressing issues through the transformation of food production and distribution systems that harmonize environmental, social, and economic dimensions is imperative.

3. NATIONAL FOOD SECURITY ACT, 2013

- Past Year Questions:

- » What are the salient features of the National Food Security Act, 2013? How has the Food Security Bill helped in eliminating hunger and malnutrition in India [Mains 2021, 15 marks, 250 words]
- » Food Security Bill is expected to eliminate hunger and malnutrition in India. Critically discuss various apprehension in its effective implementation along with concerns that it has generated at WTO [Mains 2013, 12.5 marks, 200 words]

- Introduction:

- » The NFSA, 2013 seeks to provide for food and nutritional security in human lifecycle approach, by ensuring adequate quantity and quality of food at affordable prices to people to live a life with dignity and for matters connected therewith and incidental thereto.

- Salient Features of the Act are:

- » It gives legal entitlement to 75% rural and 50% of the urban population (which come to 2/3rd of country's population) for subsidized grains under TPDS.
- » It moves from 'household food entitlement' to 'individual food entitlement'. Every individual is entitled to 5 kg of rice, wheat, or coarse cereals a month at Rs 3, Rs 2 and Rs 1 per kg. The beneficiary is identified by the state government based on the parameters decided by centre.
- » The entitlement for Antyodaya Anna Yojna (AAY) will remain at Rs 35 kg per household.
- » **For pregnant and lactating mothers**, the act provides for free meal at the local anganwadi (during pregnancy and upto six months after child birth) as well as maternity benefits of Rs 6,000 in instalments.
- » **For Children:**
 - Below 6 months: 'Exclusive breast feeding shall be promoted)
 - **Six month to six years:** The age guarantees an age appropriate meal, free of charge, through the local anganwadis.
 - **Six years to 14 years:** One free mid-day meal, shall be provided everyday (except on school holidays) in all school run by local bodies, government and government aided schools, upto Class VIII.
- » The act also provides for the **Creation of State Food Commissions** which will monitor and evaluate the implementation of the act, give advice to state governments and will enquire into violations of entitlement.
- » **Food Security Allowance** in case of non-supply of the entitled quantities of foodgrains or meals to entitled persons under the act.
- » **Schedule 3 of the act** also lists various provisions for advancing food security, under three broad categories:
 - Revitalization of Agriculture; reforming procurement, storage and movement; other provisions like drinking water, sanitation, health care, adequate pensions for senior citizens, persons with disability and single women.

- **Progress:**
 - » NFSA has been implemented in all 36 states/Uts covering more than 80 crore persons.
 - » Direct Benefit Transfer: In Chandigarh, Puducherry, and Urban areas of Dadra and Nagar Haveli, the act is being implemented in the cash transfer mode.
- **How has it contributed in reducing Hunger:**
 - » The act has led to increases food availability for weaker section. It is visible in increased government food subsidy burden.
 - » By continuing with special provisions AAY, the act ensures that the most vulnerable household get special support.
 - » By taking a lifecycle approach, it has ensured the right from the time women get pregnant to the death of a person, if the person is vulnerable, she would get food security support.
 - » With improved used of technology, like Aadhar based authentication, leakage has reduced.
 - » **One Nation One Ration Card (ONORC)** will also ensure that migrants are able to enjoy the benefits of NFSA.
- **Challenges:**
 - » **Fiscal Burden:** Since the introduction of PMGKAY, the subsidy burden on food for government has remained above Rs 2 lakh crores.
 - » **Leakages and Siphoning:** Leakages are still unacceptably high in states where PDS reforms are slow.
 - **Steps being taken:**
 - Doorstep delivery, computerization, effective grievance redressal mechanism etc.
 - The leakage trend has been declining from 54% in 2004-05 to 44% in 2007-08 to 35% in 2011-12. It is estimated to have gone down further.
 - » **Identification of Beneficiaries:** This is a serious issue as many very vulnerable sections are not enjoying the benefits of NFSA.
 - » **Infrastructural issues** like lack of adequate storage, poor transportation infrastructure. This leads to delay, spoilage of food grains, and inefficient distribution.
 - » **Aadhar Related Issues:** Use of Aadhar-based authentication for targeting beneficiaries has its own set of challenges. This includes authentication failures, discrepancy in Aadhar data etc.
 - » **Social and Cultural Factors:** Factors like caste-based discrimination, low literacy rates etc can impact the implementation of NFSA.
- **Way Forward:**
 - » **Reducing Fiscal Burden:** TPDS targeting can be made more focused and only the most vulnerable ones should be provided the NFSA benefits. Shanta Kumar committee had also recommended that the coverage should reduce from 67% of the population to 40%.
 - » **Better Identification:** Instead of trying to identify the poor, it would be better to adopt an 'exclusion approach' under which the rich are kept out and all the rest are covered.
 - Chhattisgarh Food Security Act (CFSA) which proposes four criteria - excluding income tax payees, households owning a pucca house in urban areas that has a carpet area of more than 1000 sq feet; In non-schedule areas, households holding more than 4 hectares of irrigated land or more than 8 hectares of non-irrigated land.

- » **Combating Leakages:** Automate procedures; impose strict penalties for corrupt practices etc.
- » **Improving Infrastructure:**
 - Attract private investment in agri-infrastructure, including storage facilities.
 - Promote decentralized procurement
 - Encourage local farmers and cooperative.
- » **Address Aadhar Issues:**
 - **Achieve** universal Aadhar coverage by a focused approach on most vulnerable groups.
 - For the time being establish alternative authentication mechanism.
 - **Ensure robust data security** measures to protect personal information.
- » **Addressing Social and Cultural Factors:** Run a sensitization campaign to raise awareness about the rights and entitlements of marginalized communities.

- **Conclusion:**

- » The NFSA is an important step in meeting the problem of hunger and malnutrition. By implementing the above suggested improvements, and by fostering collaborative efforts among government agencies, Civil Society Organization, and local communities, it is possible to overcome the challenges and strengthen the implementation of NFSA.

4. STORAGE OF FOOD GRAINS: CURRENT SITUATION

- The Food Corporation of India is the main agency for procurement, storage and distribution of food grains.
- **The requirement of Storage Capacity** in Food Corporation of India (FCI) depends upon the level of procurement, requirement of buffer norms, and Public Distribution System (PDS) operations for rice and wheat mainly.
- **Objectives:**
 - » **Feed TPDS** and other welfare schemes
 - » **Ensure food security** during production shortfalls
 - » **Stabilize price**
- **FCI** continuously assesses and monitors the storage capacity and based on the storage gap assessment, storage capacity is created/hired through following schemes:
 - i. **Hiring of godown** from Central Warehousing Corporation (CWC)/ State Warehousing Corporation (SWCs)/ State agencies.
 - ii. **Hiring of godown** through Private Warehousing Scheme (PWS)
 - iii. **Central Sector Scheme (CSS):**
 - Government is implementing a central sector scheme for construction of godowns with focus on augmenting storage capacity in the States of the NE region and a few other states.
 - Under this Scheme, funds are released directly to FCI in the form of equity for land acquisition and construction of storage godowns and infrastructure like railway sidings, electrification, installation of weighbridge, etc.
 - Funds are also released as grants-in-aid to the Governments of the North-Eastern States including Jammu & Kashmir for construction of intermediate storage

godowns considering the storage gaps as well as difficult geographical & climatic conditions in these States.

iv. Construction of SILOs under PPP mode

v. Private Entrepreneurship Guarantee (PEG) Scheme

- This is used for storage of food grains procured for central pool by the government agencies.
- **Current Storage Capacity** (Feb 2024)
 - » As per the latest data (Feb 2024), the total storage capacity with FCI is 361.62 lakh tonnes. Of this 146.86 lakh tones are owned by FCI and remaining 214.76 lakh tonnes is hired.
 - » The storage capacity with state government agencies is another 400.74 lakh tonnes.
 - » Together it adds up to 762.36 lakh tonnes. (76 million tonnes)
 - » In addition, a capacity of around 15 million tonnes have been created by Private Entrepreneurs Guarantee Scheme.

1) WORLD'S LARGEST AGRI-STORAGE PLAN (FEB 2024)

- **Need of such initiative:**
 - » **Low food grain storage capacity in India:** Currently India has a storage capacity of 47% of its total food grains production. In states like UP and Bihar this storage capacity is below 50%. But other countries like **China, USA, Brazil, Russia, Argentina, Ukraine, France** etc have storage capacity higher than the food grain production.
 - » **Multiple agencies involved in food grain management** including the Food Corporation of India (FCI), Central Warehouse Corporation, Warehouse Development Regulatory Authority, Railways, and the civil supply departments of states.
- In Feb 2024, PM Modi has announced a plan to set up the "World's largest grain storage plan in the cooperative sector".
 - » **Pilot project** is being undertaken in 11 Primary Agriculture Credit Societies (PACS) in 11 states.
 - **What will an integrated facility look like?**
 - The facility built at a cost of Rs 2.25 crore. The integrated modular PACs will have a custom hiring centre, a multi-purpose hall - procurement centers, primary processing units for cleaning and winnowing - a storage shed, and container storage and silos.
 - » Eventually the aim is to cover more PACs.
- **What is the plan expected to do?**
 - » **Set up storage infrastructure of 70 million tonnes** over the next five years at a cost of Rs 1.25 lakh crore.
 - The scheme will work on Hub and Spoke model.
 - Of the 63,000 PACS across the country, **55,767 will function as spoke** and will have a grain storage capacity of 1,000 metric tonnes each, while the remaining 7,233 PACS, which will function as hubs, will have a storage capacity of 2,000 metric tonnes each. Thus, all the 63,000 PACs will have a combined grain storage capacity of 70 million tonnes.

- » This will enable farmers to store their produce and sell it at the right time and right price. These efforts should reduce post-harvest losses; bring down food grain handling and transportation costs.
- » This will also enable farmers to get loan from banks.
- » The scheme will also enable PACS to undertake various other activities like Functioning as Procurement centres for State Agencies/ Food Corporation of India (FCI); Serving as Fair Price Shops (FPS); Setting up custom hiring centers; Setting up common processing units, including assaying, sorting, grading units for agricultural produce, etc.
- **Budgetary Allocation:** The plan doesn't have a separate allocation; it will be implemented by the convergence of 8 Schemes:
 - » **4 schemes under MoA&FW:** Agriculture Infrastructure Fund (AIF), Agricultural Marketing Infrastructure Scheme (AMI), Mission for Integrated Development of Horticulture (MIDH), and Sub Mission on Agricultural Mechanisation (SMAM)
 - » **2 Schemes under Ministry of Food Processing Industries:** Pradhan Mantri Formalisation of Micro Food Processing Enterprises Scheme (PMFME), and Pradhan Mantri Kisan Sampada Yojana (PMKSY).
 - » **2 Schemes under Ministry of Consumer Affairs, Food and Public Distribution:** Allocation of food grains under the National Food Security Act, and Procurement operations at MSP.

2) CRITICAL ANALYSIS OF FOOD MANAGEMENT IN INDIA

- **Example Questions**
 - » Discuss the key issues faced by India's food management system. How will the implementation of Shanta Kumar Committee recommendations resolve these issues [15 marks, 250 words]
- **Introduction**
 - » The FCI is the nodal agency for food management under the Ministry of Consumer Affairs, Food and Public Distribution. It was established in 1965 through an act of the Parliament - The Food Corporation Act, 1964 against the backdrop of major shortage of grains, especially wheat, in the country.
 - » Its main functions include procurement, storage, transport, distribution and sale of food grains.
- The objectives of the FCI is to:
 - » Safeguard the interest of farmers by providing them right price for their produce. **(MSP)**
 - » Maintain buffer stocks for food security and dealing with price fluctuations and shortages. **(NFSA)**
 - » Make food grains available at affordable price for vulnerable sections through **PDS**.
- **Key Issues in India's Food Management System**
 - » **MSP procurement Benefitting few large farmers only**
 - » **Very High Buffers:** FCI in recent years have stored more than double of the buffer limit.
 - **Why?**

- » Lack of coordination between FCI and Consumer ministry. FCI is just a keeper of the grains - but how much grains should be stored as "buffer/backup" for emergencies is decided by the consumer ministry.
 - » **Increasing MSP for wheat and Rice** and **Open-Ended Procurement** for Wheat and Rice
 - » **No automatic liquidation rule:** Ideally FCI should sell-off the excess food grains, above the buffer quota, to open market - that'll increase the retail supply and stabilize prices. But, it depends on government's mood
 - This has affected market economy and have led to wastage too due to poor infrastructure.
 - » **High level of Corruption: 40-60% of crops siphoned off** to black market (NSSO 2011)
 - » **Poor Infrastructure** is leading to a lot of wastage of food grains in storage and transportation
 - » **Poor human resource management by FCI** is leading to excessive expenses on human resources and exploitation of contract laborers at the lowest levels.
 - » **Very high Subsidy burden** on government
 - » **Countercyclical Procurement Policy -> Impacts market drastically**
 - Drought year -> increased MSP to protect farmers -> reduce availability of crops in market -> inflation
- **Suggestions for Improvement**
- » **Key Recommendations of Shanta Kumar Committee** on FCI restructuring, Buffer Stock, PDS, Food Security and DBT
 - a. **Outsource Procurement to states with enough capacities** and continue procurement only for states with Poor Capacities
 - b. **Procurement Reforms**
 - Popularize Negotiable Warehouse Receipt System (NWRs).
 - No procurement after buffer stock is filled.
 - **Quality Check:** FCI or third party must perform Quality check before accepting grains from state government agencies and farmers. Don't accept substandard grains.
 - c. **Buffer Stock Reforms**
 - **Committee's prescribed norms for Food-stocking**
 - **Pro-active Liquidation Policy:** Whenever FCI has grains above buffer norms, it should automatically sell excess stock in open market a.k.a. "**Pro-Active Liquidation Policy**".
 - **No harm in importing**
 - » Keep moderate buffers/backup and import during difficult situations.
 - Reduce import duties on wheat and rice.
 - » For instance, for north-east it is cheaper to import from Myanmar rather than transporting from Andhra/Punjab. _
 - d. **Storage Reforms**
 - i. **Outsource grain storage function to central warehousing Corporation (CWC), State Warehousing Corporation (SWC), and private sector players - under private Entrepreneur Guarantee (PEG) Scheme on competitive bidding - give them contract to store FCI grains for 20 years.**

- ii. **Don't store in cover and plinth godowns.** Covert them into silos with Mechanized/robotic assemblies, with help of private sector. Madhya Pradesh has already begin doing this.
 - iii. **End to End Computerization** and online tracking of entire system from procurement to retail distribution.
 - iv. **North East and Jammu Kashmir state government** must create **storage capacity** that can last for 3 months. So that even during bad weather or other disasters when the state government is cutoff from rest of the India, they can sustain.
 - v. **Crowdsourcing of storage:** Immediately after the procurement, give 6 months' ration to poor-beneficiaries, with cheap grain bins for storage.
 - Will lead to less grain in godowns
- e. **Transport Reforms**
- i. As far as possible **grains should be transported in containers**, instead of gunny bags, it'll reduce losses, get faster-turn-around time at railways and waterways. Should be packed at gunny bags only at District HQ level - from where it will be transported to retail outlets.
 - ii. **Iron hooks to lift the bags should be avoided.** Provide bags with "ears" to eliminate hook requirements.
 - iii. **Use forklift** instead of manual labour.
 - iv. **Improved night security at rail points** - because 85% of PDS grains are transported through railways and maximum siphoning off occurs here.
 - v. **Construct silos at mandis**, and provide rail connectivity to them.
 - vi. As and when possible, **use inland water transport for moving wheat and rice.** Example from Vishakhapatnam to north-east and Kerala. Improve rail connectivity between such ports and their hinterlands.
- f. **Subsidy Reforms**
- i. **Direct Cash Transfers to Farmers** for fertilizer subsidy
 - This would promote judicious use of NPK fertilizers, organic manures. This may also contribute diversification of agriculture.
 - ii. **Direct Cash Transfer to Consumers** (instead of PDS)
 - Let people buy from farmers -> It may reduce government's subsidy burden and reduce the food wastage.
 - iii. **Curtail National Food Security Act (NFSA)**
 - 66% population -> too much burden and over coverage -> Reduce to 40% population.
 - For BPLs continue with Antyodaya - Rice Rs 3/kg, Wheat Rs 2/kg and Coarse Grains Rs 1/kg.
 - For others, subsidy should be 50% of MSP.
- g. **Reforming Human Resource Management of FCI**
- **Begin Mechanization** - to reduce dependency on manual labour
 - **Reduce the number of zonal and regional offices** -> increase coordination with state agencies through e-governance mechanism
 - **VRS** to FCI's permanent staff
 - **Hire specialists/executives from private sector** for top level -> instead of relying on generalist IAS on deputation

- Conclusion1

- Buffer stocks at FCI are meant to ensure food security for India, but a number of problems have crept in this food management. Government should fast track its efforts to reform FCI and the Public Distribution System. At the same time there should be initiatives to diversify food crops for farmers and bring in market reforms.

5. PUBLIC DISTRIBUTION SYSTEM (PDS) – OBJECTIVES FUNCTIONING, LIMITATIONS AND REVAMPING

- Questions:

- » What are the major challenges of Public Distribution System (PDS) in India? How can it be made effective and transparent? [Mains 2022, 10 marks, 150 words]
- » What are the reformative steps taken by the government to make food grain distribution system more effective? [Main 2019, 15 marks, 250 words]

- Introduction

- » The Public distribution system (PDS) evolved as a system of management of scarcity and for distribution of food grains at affordable prices. Over the years, PDS has become an important part of Government's policy for management of food economy in the country.
- » **Responsibility:** PDS is operated under the joint responsibility of the Central and the State Government.
 - **Central Government**, through Food Corporation of India (FCI), has assumed the responsibility of procurement, storage, transportation and bulk allocation of food grains to the state governments.
 - **State government** own the operational responsibilities including allocation within state, identification of eligible families, issue of Ration Cards and supervision of the functioning of the fair price shops (FPSs).
- » **Evolution of PDS**
 - Emanated in critical food shortages of 1960s. Initially began with focus on urban scarcity area. It contributed to containment of price rise and ensured access to food grain to urban consumers.
 - With increase in food production, primarily due to green revolution, the outreach of PDS was extended to tribal blocks and high poverty incidence areas in 1970s and 1980s.
 - Till 1992, it remained a general entitlement.
 - In 1992, **Revamped PDS** was launched in 1775 blocks throughout the country - where a substantial number of poor lived.
 - **Targeted PDS (TPDS)** was started in 1997 with focus on the poor.
 - **Three core TPDS categories:** Under the TPDS, households are classified in accordance with a set of socio-economic parameters and provided with a ration card on this basis. Across India, the three core PDS card categories are above poverty line (APL), below poverty line (BPL) and Antyodaya (poorest of the poor) (AAY was started in 2000).
 - **Antyodaya Anna Yojana (AAY)**

- » AAY is a step in direction of making TPDS **aim at reducing hunger among the poorest segments for the BPL population.**
- » In order to take TPDS more focused and targeted this category of population, the AAY was launched in **December 2000 for 1 crore poorest of the poor families** among the number of BPL families covered under TPDS within the states and providing them food grains at **highly subsidized rate of Rs 2 per Kg for wheat, Rs 3 per Kg for rice.** The states/UTs are required to bear the distribution cost, including margin to dealers and retailers as well as the transportation cost.
- » **The scale of issue** was initially **25 Kg per family per month** and was **increased to 35 Kg per family per month with effect from April 1 2002.**

- **TPDS under National Food Security Act, 2013**

- » NFSA, 2013 was notified on 10th Sep 2013.
- » It covers 2/3rd of the entire population (75% of rural population and 50% of the urban population) under two categories of beneficiaries: 1) **Antyodaya Anna Yojana (AAY)** and 2) **Priority Households (PHH).** .
- » Under the NFSA, 2013, the priority households are entitled to receive food grains **@5 Kg per person per month** at the issue price of Rs. 3.00, Rs. 2.00 and Rs. 1.00 per Kg for rice, wheat and coarse grains respectively. **The existing AAY households,** however, continue to receive 35 Kg of food grains per household per month.

▪ **Pradhan Mantri Garib Kalyan Anna Yojna**

- A Part of Atmanirbhar Bharat Abhiyan.
- It was launched to provide additional allocation of foodgrains from the Central Pool at the rate of 5 kg per person per month **free of cost** for all the beneficiaries covered under TPDS (AAY & PHH) including those covered under DBT for a period of 3 months i.e. April - June 2020.
- It has kept on getting extended and starting 1st of Jan 2024, it has been extended for next five years.

- **Key Challenges faced by the PDS system**

1. **Corruption and Leakage:** Complaints of foodgrains being siphoned off by middlemen is common.
 - Several empirical studies show that both rural and urban poor continue to have considerable dependency on products bought from market at higher prices.
2. **Inaccurate targeting of beneficiaries:** PDS system has often missed the most vulnerable sections and complaints of well-off section in rural areas getting the advantage of PDS are frequent.
 - **Ration Cards** are issued only to households that have proper registered residential address. This means that a large number of poor who are homeless and others without proper residential addresses (e.g. migrant laborers) are automatically left out of the food security system.
3. **Heavy losses in storage and transportation:** Lack of sufficient storage facilities with FCI and inadequate transport facilities leads to heavy transit losses.

4. **Later and Irregular arrival of grains in fair price shops:** The villagers are poorly informed and certainly not in advance. Poorest among the poor may not even have cash ready at the moment stock arrives.
5. **WTO's Agreement on Agriculture** also puts restriction on the amount of subsidy that can be given to farmers. PDS system may lead to the violation of the norms.
6. **Nutritional challenges due to lack of focus on food diversity:** PDS system primarily focuses on distribution of wheat and rice.
7. **Digitization of PDS** is also facing challenges due to lack of digital literacy, internet connectivity issues and infrastructural challenges.
8. **Increased fiscal burden:** Government procures wheat and rice at MSP and then makes it available at very low prices to poor families. The food subsidy burden of government in FY 2023 was more than Rs 2 lakh crores.

- REVAMPING PDS

• Steps being Taken

- a. **Decentralization of Procurement Process:** Procurement centres have been dispersed to different parts of the country, encouraging local procurement to the maximum extent.
 - The differences between the economic cost of the state governments and the central issue price is passed on the state governments as subsidy
- b. **Changes in Buffer stock norms** in recent years to rationalize storage.
- c. **Reducing the post-harvest losses** - by strengthening forward linkages in the agriculture sector through improvement in infrastructure for distribution and storage of PDS food grains.
- d. **Integrated Management of Public Distribution System** - (IM-PDS): Integrate PDS system/portals of states/UTs with Central Systems/portals with and aim to introduction of national portability, and de-duplication of ration cards/beneficiary etc.
- e. **One Nation One Ration Card (ONORC)** - To ensure that even migrant workers are able to enjoy the benefit of Public Distribution system.

- Future Steps

- a. **Key Recommendations of the Shanta Kumar Committee:** The High Level Committee (HLC) for restructuring of FCI, gave several key recommendations to improve the public distribution system (PDS) and FCI's operations.
 - **Reduce population covered under PDS:** The committee recommended that PDS should primarily be available for the needy and most vulnerable and the coverage should be reduced from 67% of the population to 40%.
 - A nice beginning can be th '**Give it Up**' campaign
 - Direct Cash Transfers in place of physical distribution of food grains. This was to reduce leakages, improve efficiency, and provide greater autonomy to beneficiaries.
 - Decentralization of procurement activities to states.
 - Rationalizing Buffer Stocks of FCI: Review and reduction of the buffer stocks to prevent wastage and reduce carrying costs.
 - Promote private sector: They can bring efficiencies in storage and movement of food grains.
- b. **Universalize in times of Crisis** like COVID-19 pandemic.
- c. **Diversify the food grains available** - for better food security and sustainable agriculture.

- For e.g. Odisha government has introduced locally produced millets into ICDS, PDS. It will contribute to better nutritional security, Crop diversity etc.
- d. **Other steps to rationalize subsidy burden:**
- Coverage of NFSA needs to reduce to fewer families.
 - Come up with a 'slab rate' instead of the current criteria of flat rate.
- **Conclusion**
- » COVID-19 crisis made us realize the significance of PDS system for ensuring food security of India. With the above discussed reforms, it can play an important role in ensuring both proper income for farmers and proper nutrition for poor.

6. ONE NATION ONE RATION CARD (ONORC)

- **Example Question**
- » "While One Nation One Ration Card has the potential to improve outcomes particularly for the subaltern groups, like any delivery mechanism, the entire value chain of making the system work needs to be closely monitored and backed by infrastructure" Elaborate [15 marks, 250 words]
- **What is a Ration Card?**
- » Under the National Food Security Act (NFSA), 2003, around 80 crore beneficiaries are entitled to subsidized food grains - Rice (Rs 3/kg), Wheat (Rs 2/kg) and Coarse Grain (Rs 1/Kg) - from the designated fair price shops (FPS) of the Targeted Public Distribution System.
 - » These families are **issued Ration Cards** to access this benefit. Currently, around 23 crore ration cards have been issued in all states and UTs.
 - » **Before the ONORC system**, a ration card could be used to access subsidized grains from the fair price shop assigned in the locality. A migrant was not able to access subsidized grains in new locality.
- **One Nation, One Ration Card (ONORC)**
- » ONORC is being implemented under NFSA, 2013. it allows beneficiary to buy subsidized food grains from any FPS shop in the country, by using the same ration card after biometric/Aadhar authentication on electronic Point of Sale (ePOS) devices.
- **How does ONORC work?**
- » Integrated Management of Public Distribution System (IM-PDS) portal, provide the technical platform for the inter-state portability of ration cards.
 - » Biometric authentication on ePOS devices enable beneficiary to purchase the entitled food grains under the NFSA.
 - » Annvitran.nic.in hosts the data of distribution of foodgrains through E-PoS devices within a state.
 - It allows availing of PDS benefit outside the district but within the home state.
 - » **Standard Format of ration cards** which ensures an unique ID of each customer.
- **How much foodgrains can be procured?**
- » Only the migrants' entitlement, the rest of the grains would be procured by the family back home.

- **Steps being taken**
 - » **Seeding of Ration Cards** with Aadhaar numbers, **Installation of ePOS devices** at all FPS
 - » Once 100% target of both these are reached, the all-India portability of ration cards will become a reality.
- **Needs/Advantages of One Ration Card**
 - » **Right to Food:** Enable **migrant families to access PDS benefits** from any Fair Price Shop in the country.
 - » **End Discrimination and Improve the quality of service:** It will shift the bargaining power from the PDS dealer to the PDS beneficiary. Beneficiary can choose the FPS shop which provides better service. It would also lead to FP providing better service earn more income.
 - » **Aadhaar seeding would also weed out duplicate ration cards**
 - Process of Universal seeding of ration cards
 - » It could be highly crucial for emergencies like the COVID-19 crisis.
- **Progress so far:**
 - » The facility of national/inter-state portability is available in all states and Uts.
 - » Seeding of ration cards with Aadhaar is going on.
 - » At present around crore portable transactions are being recorded.
 - » **Centre has provided various incentives to states to implement ONORC:**
 - For e.g. implementation of ONORC was a precondition for additional borrowing by states during the COVID-19 pandemic.
- **Some Challenges:**
 - » **Exclusion Errors:**
 - **Aadhar seeding** may lead to exclusion of most vulnerable groups/sections. There are many sections which don't have Aadhar yet.
 - Similarly, ensuring internet connections in remote areas, quick grievance redressal mechanism when E-POS system doesn't identify biometrics or when it malfunctions may remain a challenge.
 - » **State Specific Subsidies** will be a challenge. For e.g. universal PDS in TN, extra subsidies in some states, more grains in some states.
 - » **Food Grain availability at FPS** will be a challenge. The FPS get food grains based on its requirement. And in situations like short-term migration estimating demands may be a difficult task.
- **Way Forward:**
 - » **Special focus on providing Aadhar and linking this Aadhar with most vulnerable groups**
 - » **Technology like data analytics** can play a role in estimating the demand at FPS in different states in different months.
 - » In long run, **PDS system should move to DBT** to ensure that market is not distorted and everyone is able to food as well.
- **Conclusion**

- » ONORC has the potential to improve outcome specially for subaltern groups like migrants, socially weaker sections in rural areas etc. But the entire value chain of making the system work needs to be closely monitored and backed by infrastructure.

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